



Nyadi Hydropower Limited

Buddha Nagar, Kathmandu, Nepal

UNAUDITED STATEMENT OF FINANCIAL POSITION AS ON ASHWIN 30, 2080

Figures in NPR '000

Particulars	This Quarter Ending (Ashwin End 2080)	Previous Quarter Ending (Ashad End 2080)	Corresponding Previous Year Quarter Ending (Ashwin End 2079)
ASSETS			
Non-Current Assets			
Property, Plant and Equipment	7,384	7,943	8,231
Intangible Assets	5,901,727	5,956,204	5,973,533
Intangible Assets Under Development	-	-	-
Other Non Current Assets	661	625	612
Total Non-Current Assets	5,909,772	5,964,773	5,982,376
Current Assets			
Cash and Cash Equivalents	39,463	8,315	7,795
Bank Balance Other than Cash and Cash Equivalents	1,272	8,836	2,050
Other Financial Assets	94,587	129,857	89,490
Other Current Assets	19,364	19,605	31,417
Total Current Assets	154,687	166,613	130,751
Total Assets	6,064,459	6,131,386	6,113,128
EQUITY AND LIABILITIES			
Equity			
Equity Share Capital	1,500,000	1,500,000	1,500,000
Other Equity	(415,881)	(396,911)	(222,708)
Total Equity	1,084,119	1,103,089	1,277,292
Liabilities			
Non-Current Liabilities			
Borrowings	4,497,404	4,505,108	4,006,994
Other Financial Liabilities	190,253	196,562	407,962
Provisions	1,807	3,058	32
Total Non-Current Liabilities	4,689,463	4,704,729	4,414,988
Current Liabilities			
Borrowings	250,000	250,000	363,317
Trade Payables	624	1,433	53,690
Provisions	-	13,700	-
Other Financial Liabilities	39,011	57,519	3,114
Other Current Liabilities	1,242	917	726
Total Current Liabilities	290,877	323,568	420,848
Total Liabilities	4,980,340	5,028,297	4,835,836
Total Equity and Liabilities	6,064,459	6,131,386	6,113,128

UNAUDITED STATEMENT OF PROFIT & LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED ASHWIN 30, 2080

Figures in NPR '000

Particulars	This Quarter Ending (Ashwin End 2080)	Previous Quarter Ending (Ashad End 2080)	Corresponding Previous Year Quarter Ending (Ashwin End 2079)
Revenue During Constuction Phase	-	-	-
Revenue from Operations	130,851	591,644	153,341
Cost Incurred During Construction Phase	-	-	-
Project Operating Expenses	(60,893)	(258,295)	(62,392)
Gross profit	69,958	333,348	90,949
Other Income	-	-	-
Administrative and Other Operating Expenses	(9,002)	(59,540)	(15,343)
Net Operating Profit	60,957	273,809	75,606
Finance Cost	(94,850)	(471,856)	(107,094)
Finance Income	159	264	45
Profit / (Loss) before Tax & Bonus	(33,734)	(197,784)	(31,442)
Provision for Staff Bonus	-	-	-
Provision for Reserves	-	(11,537)	(3,005)
Profit / (Loss) before Tax	(33,734)	(209,321)	(34,448)
Income Tax Expense	-	-	-
Net Profit for the year	(33,734)	(209,321)	(34,448)
Other Comprehensive Income	-	-	-
Total Comprehensive Gain/(Loss), Net of Tax	(33,734)	(209,321)	(34,448)

FIRST QUARTER DISCLOSURE AS OF ASHWIN 30, 2080 AS PER SECURITIES REGISTRATION AND ISSUANCE REGULATION Annexure -14 (Related to Sub-Regulation 1 of Regulation 26)

1 FINANCIAL STATEMENTS

- The Unaudited Financial Statements for the first quarter and key financial ratios have been published along with this report.
- Transactions with related parties: Business Transactions were conducted with related parties at arm's length in line with section 93(3c) of the Company Act, 2063. NHL has been availing promoter's loan and rental and other associated facilities from Butwal Power Company Limited and using various consultancy service as an when needed from Hydro Consult Engineering Ltd.
- Key Financial Indicators**

Period	Earning per share (Annualised)	Net Worth Per Share	Current Ratio	Price Earn- ing Ratio	Return on Assets
This Year Quarter End	(9.00)	72.27	0.53	(25.90)	-2.23%
Previous Quarter End	(13.95)	73.54	0.51	(18.72)	-3.41%
Corresponding Previous Year Quarter End	(9.20)	85.15	0.31	(28.37)	-2.26%

2 MANAGEMENT ANALYSIS

- "Any changes in the Stock, Income and Liquidity during the quarter and the reason for change, if any":** Stock/spare parts of the power plants equipments has been maintained at a sufficient level as provided by the Contractor as per the terms of the EPC Contract. Finance cost on Term Loan of the project do have serious impact on the company's profitability as it covers a majority portion of company's expense. Similarly, amortization of Intangible Assets during the period also affects the profitability of the company.
- "Statement of Management Analysis on the Company's upcoming Business Plans":** The Company has not any such plan for other project developments other than for effective/efficient operation of the project rather than lobbying for the construction of 132 kV Tarikuna substation and reversal of "Take and Pay" clause to "Take and Pay" with Nepal Electricity Authority.
- "Analytical Statement on the possible effect on Company's Profitability, Stock and Cash Flows based on the past experience.":** Due to the contingency plan with NEA i.e. Sale of energy on "Take and Pay Basis", NEA has not taken full generation of the project in last quarter i.e. wet seasons and the company has to abide with the dispatch instruction from Load Dispatch Centre, NEA. This has made a serious impact on current financial year's profitability.

3 LEGAL PROCEEDINGS

- Case filed by or filed against the Company during the quarter, if any: None
- Case filed by or filed against the Company or its Promoter or Director for violation of the prevailing regulation or committing the criminal offense, if any: None
- Case filed against the Promoter or Director on Financial crime, if any: None

4 ANALYSIS OF COMPANY'S SHARE TRANSACTIONS

- NHL shares were actively traded during the first quarter.
- The major highlights of share transactions during the quarter are as follows:
 - Maximum Price- NPR 293 ; Minimum Price- NPR 176.40 ; Closing Price- NPR 268.70 ; No. of Transaction Days- 61; Total Transactions- 5,854 ; Total Traded Volume- 274,735 and Total Traded Value- NPR. 60,121,731.50

5 PROBLEMS AND CHALLENGES

Internal

- Optimization and Retention of skilled human resources;
- Fund Management problem due to liquidity problem in financial market resulting increase in finance cost
- Managing the operational efficiency of the project

External

- Impact of Global Warming and Climate change effects and the amount of rain/snow fall in the project catchment area.
- Foreign Exchange Risk exposures in payment to contractors due to fluctuation of currency in the International Foreign Exchange Markets;
- Delay in construction of Tarikuna Substation & 132 kV Transmission Line by Nepal Electricity Authority and the financial impact to project due to Line loss and Generation loss for the evacuation of energy generated from the project as per the Contingency plan with NEA.

Strategies

- To maximize generation of powerplant with at least maintaining the contract energy of Power Purchase Agreement.
- To operate the powerplant efficiently and effectively.

6 CORPORATE GOVERNANCE

Board of Directors, Project Steering Committee, Audit Committee, Other Committees and Management Team are committed towards strengthening good corporate governance within the company. NHL has written manual, policies, rules & guidelines for proper functioning of the operation of the company.

7 DECLARATION OF CHIEF EXECUTIVE OFFICER ON TRUTH, TACTFULNESS

I, the Chief Executive Officer of this Company, take the responsibility of accuracy of the information and details mentioned in this report for the first quarter of FY 2080/81, hereby declare that the information and details provided in this Report are true, based on facts, and complete to the best of my knowledge and that information necessary for taking informed decision by the investors are not concealed.